

LATVIA 2016

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at <http://www.oecd.org/social/benefits-and-wages.htm>

1. Overview of the tax-benefit system

The tax and fees system in Latvia consists of state taxes, state fees, local government fees, directly applicable taxes and other obligatory payments set in European Union regulatory enactments and social insurance contributions.

There exists a three-tier system of social benefits in Latvia:

- 1) state social insurance benefits which are earnings related and based on social insurance contributions;
- 2) state social benefits which are flat-rated and with universal coverage of population;
- 3) means-tested and non means-tested benefits provided by local governments within the municipal social assistance system.

State social insurance benefits guarantee a person a certain substitute for income in the event of social risk and are provided only for socially insured people. Individuals are insured and social insurance contribution payments are made in respect of those social risks that may actually affect them. Social insurance contributions guarantee security to person in case of old-age, death, unemployment, disability, maternity (paternity), child care (parental benefit), sickness, accidents at work and occupational diseases.

State social benefits provide universal state support in the form of cash payments for certain groups of the population in cases related to the arising of additional expenditures, in which the social insurance system does not provide for security: for example, family benefit, child care benefit, child birth allowance, state social security benefit (that provides security in case of loss a parent), etc.

There is a social assistance scheme which guarantees a minimum income for every inhabitant of the country, as well as provides housing benefit and other means-tested benefits in special cases as a last safety net.

As concerns social benefits, only pensions (old-age pension, long service pension, disability pension, survivor's pension) and sickness benefit are taxable.

1.1. Average Worker wage (AW)

The 2016 AW earnings level is EUR **10173.4¹**.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2017, OECD, 2017.

2. Unemployment insurance

The operation of the unemployment insurance system in Latvia is regulated by the **Law on Unemployment Insurance**, adopted by the Saeima² on 25th November 1999 (became effective on 1st January 2000), - which was elaborated on the basis of previous Law on Compulsory Social Insurance against Unemployment, enacted by the Saeima on 5th October 1995 (in force since 1st January 1997) – for improvement of the state social insurance scheme relating to unemployment.

The purposes of the Law are as follows:

- to ensure income substitution in the event of unemployment;
- to ensure the amount of the unemployment benefit in proportion to the individual contribution wage, the insurance period and the length of the time during which the benefit is received;
- to stimulate the unemployed person to seek job actively, to improve existing qualification and to undergo retraining.

The Law on Unemployment Insurance provides passive unemployment insurance services (unemployment benefit in cash; funeral benefit in case of the demise of the unemployed). The State Social Insurance Agency is in charge of granting and payment of unemployment benefits and funeral benefits. Passive unemployment insurance services determined by the Law on Unemployment Insurance are financed by the state social insurance special employment budget. Part of active employment activities is also funded by Special Employment Budget set forth under the *Support for Unemployed Persons and Persons Seeking Employment Law*, however within the amount not exceeding 10% of the total Special Employment Budget determined by the *Law on Annual Budget*, which determines a particular amount of Special Employment Budget for financing of active employment activities.

The entitlement to unemployment benefit is linked to the status of unemployed person, granted and monitored by public employment service (State Employment Agency) in accordance with the Support for unemployed persons and persons seeking employment law.

Overview of the unemployment insurance scheme (see Chapter 2 for more details):

Program name (local name)	Unemployment insurance (Bezdarbnieka pabalsts)
Insurance is voluntary(V) or compulsory(C) for employees	C
Employment record (E) and contribution (C) conditions	C: 9 out of last 12 months; no less than 12 months in total
Waiting period (days)	0 ³
Maximum duration (months)	9

² The Saeima is the parliament of the Republic of Latvia.

³ 2 months for those who have discontinued legal employment relations based on their own initiative or a violation of work contract or working regulations.

Upgrading mechanism of the benefit		-
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	from 1 st to 3 rd month: depends on contributions' period (1-9 years - 50% of contribution wage; 10-19 years-55%; 20-29 years-60%; above 30 years-65%)
	benefit at the end of legal entitlement period in % of calculation base	from 7 th to 9 th month: 50% of the initial benefit
	Calculation base ¹	Gross (average insurance contribution wage)
	Permitted employment and disregards when receiving unemployment insurance benefit	None
Benefit provision (eligibility (E), generosity (G)) varies with	age	E: from 15 up to statutory retirement age
	family situation	0
	contract type	0
	other	0

Notes:

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

2.1 Conditions for receipt

Persons who have obtained the status of unemployed person in accordance with the Support for unemployed persons and persons seeking employment law and who also have unemployment insurance are entitled to unemployment benefits.

Persons who are not citizens or non-citizens of Latvia, who are not permanent residents of Latvia or who have not received a temporary residence permit and also are not spouses of Latvian citizens, non-citizens or permanent residents of Latvia have rights to get unemployment benefit in accordance with the *Council Regulation (EEC) No 883/2004 of the European Parliament and of the Council of 29th April 2004 on the coordination of social security systems*.

Unemployment benefit is granted to an unemployed person who has registered as unemployed, whose length of period of insurance is not less than one year and for whom mandatory social insurance contributions for the case of unemployment have been made on his/her behalf within a period of not less than 9 months within the last preceding 12 months before obtaining of the status of unemployed.

Eligibility for unemployment benefit doesn't depend on whether the job loss is "voluntary" or not. But voluntarily dismissal affects the granting procedure of unemployment benefit. If a person has become an unemployed after the termination of work or service on the basis of his or her notice (voluntary) or due to a

violation, the unemployment benefit shall be granted not earlier than two months after the day when the status of an unemployed person was obtained. Two months waiting period has been introduced in order to motivate people to retain their jobs and not to violate labour contracts and working regulations.

In order to become (and remain) entitled to the unemployment benefit it is necessary to obtain (and retain) an unemployed status. A person has the rights to unemployment status if the person is actively seeking employment. In accordance with the *Support for Unemployed Persons and Persons Seeking Employment Law* unemployed persons have a duty to:

- actively seek employment independently and with the assistance of the State Employment Agency and after the acquisition of the unemployed person status to provide without delay a proposal to the State Employment Agency for the development of an individual employment seeking plan;
- attend the State Employment Agency on the day specified in the individual job seeking plan and present the documents specified in regulatory enactments;
- attend the State Employment Agency within a time period of three days from the day of receipt of an invitation;
- participate in measures provided for in the individual job seeking plan.

2.1.1 *Employment conditions*

Persons who have obtained an unemployed status in accordance with the *Support for Unemployed Persons and Persons Seeking Employment Law* are entitled to unemployment benefits.

A person has the right to the unemployment status after registration with the State Employment Agency if he or she:

- 1) does not work (is not considered to be an employee or a self-employed person in accordance with the Law On State Social Insurance);
- 2) is seeking employment;
- 3) is able to work and ready to enter into employment relationships without delay ;
- 4) has reached 15 years of age;
- 5) has not reached the age necessary for the granting state old age pension or state old age pension has not been granted prematurely;
- 6) is not acquiring an education at a general secondary or vocational secondary education institution, excluding evening schools;
- 7) does not perform commercial activities or his or her commercial activities have been suspended in accordance with regulatory enactments;
- 8) is not completely State supported.

The person for whom invalidity has been determined shall also be considered to be able to work except in cases where the Medical Commission for Expert-Examination of Health and Working Ability has determined a loss of work capacity of 100 per cent.

If a person on the day of registration has a temporary illness, the State Employment Agency shall grant such person the unemployed person status after the end of the temporary illness.

The basis for the loss of unemployment status shall be:

- 1) the acquisition of status of the employee or self-employed person for an indefinite period of time or for a time period longer than two months in accordance with the Law On State Social Insurance, except engaging in the active employment measures;

- 2) reaching the age necessary for the granting of the State old age pension, receipt of a service pension or State special pension, prematurely granting of State old age pension;
- 3) coming under complete State support;
- 4) commencing the acquisition of education by being present at a general secondary or vocational secondary education institution, excluding evening school;
- 5) refusal of an appropriate job offer of employment twice;
- 6) failure to fulfil the duties of an unemployed person without a justified reason;
- 7) provision of false information in order to acquire and retain unemployment status;
- 8) moving for permanent residence outside the European Union if not specified otherwise in international agreements binding upon Latvia;
- 9) the loss of work ability of 100 per cent;
- 10) renewal of employment through a court judgment;
- 11) death of the unemployed person;
- 12) waiver of unemployed person status by submitting a relevant notification to the State Employment Agency.

Unemployment benefit is granted as of the day the unemployed filed all the documents, showing the right for the benefit (including statement from the State Employment Agency about granting of unemployment status).

The unemployment benefit for a person, who has become unemployed after terminating employment voluntarily or due to a violation, is to be granted not earlier than two months as of the day of obtaining of the unemployed status. The main purpose of this is to prevent voluntarily dismissals of employed persons by the prolongation of the period after which unemployment benefit is granted.

Unemployed person loses his/her entitlement to unemployment insurance benefit, if he/she starts working again, even if it is only for an hour per week.

However, according to the Law On Unemployment Insurance the disbursement of unemployment benefit shall be suspended if an unemployed person obtains the status of an employee in accordance with the Law On State Social Insurance for a time period of up to two months (inclusive). So if person (after getting the unemployment benefit) works less than two months, the unemployment insurance period is prolonged for respective period.

2.1.2 Contribution conditions

Unemployment benefit is granted to an unemployed person who has registered as unemployed, whose length of period of insurance is not less than one year and for whom mandatory social insurance contributions for the case of unemployment have been made on his/her behalf within a period of not less than 9 months within the last preceding 12 months before obtaining of the status of unemployed.

If within the last preceding 12 months before obtaining the status of unemployed the contributions for the case of unemployment are made on behalf of the unemployed for the period of less than 9 months, and also for the period after obtaining of the status of unemployed, then unemployment benefits are determined on the basis of the contributions made during the preceding 12 months before the day when unemployment benefit is requested.

If within a period of the last preceding 12 months before obtaining the status of unemployed contributions for the case of unemployment are not made on behalf of unemployed, or are made for the period of less than 9 months, the unemployed is entitled to the unemployment benefits provided, in the respective period, the unemployed was within the category of the following persons:

- 1) regained work ability after disability;
- 2) taken care of a disabled minor aged below 18.

In 2016 the amount of social insurance contributions covering unemployment insurance is 2.08% of the contribution base. (This rate includes both contributions paid by employee and employer.) The total rate of compulsory social insurance contributions if the employee is insured for all social insurance types is 34.09%.

Insurance period, entitling for the unemployment benefits is comprised of the following:

- 1) the period for which the contributions for the case of unemployment are made in accordance with the Law On State Social Insurance (the Law On State Social Insurance came into force on 1st January, 1998);
- 2) the periods of work or activity equal to work accrued until 1st January, 1991;
- 3) the periods of work accrued from 1st January, 1991 until 1 January, 1996, for which the social tax payments are made;
- 4) the periods for which the social tax payments are made for the period from 1st January, 1996 until 31st December, 1997 made in accordance with the law On Social Tax.

The average insurance contribution wage for determining unemployment benefit is calculated as an average of the person's insurance contribution wages (i.e. monthly incomes from which state social insurance contributions are made) for a 12 month period, such period ending two calendar months prior to the month in which the person became unemployed.

2.2 Calculation of benefit amount

For the unemployed, who until the day of obtaining the status of the unemployed was an employee, the benefit amount is determined in proportion to the insurance period, and his/her income, from which unemployment contributions are made in accordance with the Law On State Social Insurance:

- 1) with an insurance period from one to nine years (inclusive): within the amount of 50% from average insurance contribution wage;
- 2) with an insurance period from ten to nineteen years (inclusive): within the amount of 55% from average insurance contribution wage;
- 3) with an insurance period from twenty to twenty-nine years (inclusive): within the amount of 60% from average insurance contribution wage;
- 4) with an insurance period above thirty years (inclusive): within the amount of 65% from average insurance contribution wage.

For the unemployed on behalf of which before the day of obtaining of the status of the unemployed the contributions for the case of unemployment are made from the state basic budget, and for the unemployed who regained work ability after disability or who has taken care for the disabled minor aged below 18, the benefit is determined within the amount of 60% of the state social security benefit double amount being in force as of the day of requesting an unemployment benefit (the actual amount of state social security benefit is 64.03 EUR per month).

For an unemployed person for whom the benefit claimant himself or herself and his or her employer had made unemployment insurance contributions for a part of the contributions period prior to the day when the status of an unemployed person was obtained, but for the other part – the State, the amount of the unemployment benefits to be granted shall be determined in proportion to length of period of insurance and depending on the average wage subject to insurance contributions.

If an unemployed person at the end of the contributions period did not have the employee status and before the day of obtaining of the status of the unemployed the contributions for the case of unemployment are made from the state special social insurance budget, the amount of the unemployment benefits to be granted shall be determined:

- 1) in proportion to length of period of insurance and depending on the average wage subject to insurance contributions, if insurance contributions were made from sickness or maternity benefit;
- 2) within the amount of 60 % of the state social security benefit double amount being in force as of the day of requesting an unemployment benefit, if insurance contributions were made for recipients of parental benefit.

For an unemployed person for whom both, the benefit claimant himself or herself and his or her employer and the state, had concurrently made unemployment insurance contributions prior to the day when the status of an unemployed person was obtained, the unemployment benefits shall be granted in proportion to length of period of insurance and depending on the average wage subject to insurance contributions.

The maximum unemployment benefit payment period is 9 months.

The unemployment benefit shall be disbursed in the following amount depending on duration of the unemployment:

- first 3 months of unemployment: 100% of the set benefit,
- from 4-6 months of unemployment: 75% of the set benefit,
- from 7-9 months of unemployment: 50% of the set benefit.

The unemployment benefit decreases over time in order to motivate every unemployed person and especially those who receive low benefit amounts to return to the labour market a.s.a.p.

In order to prevent the payment of unemployment benefits with unreasonably high amounts in accordance with amendments adopted in 22nd December 2009 to the Regulations of the Cabinet of Ministers No 866 "Procedures for Calculation of Average Wage Subject to Insurance Contributions for Determination of Amount of Unemployment Benefit and Procedures for Granting, Calculation and Payment of Unemployment Benefit and Funeral Benefit" 21/10/2008, for person which became unemployed after 1st January 2010 and whose insurance contributions wage within relevant 12 months period has different amounts, in the calculation period of average insurance contributions wage doesn't include two months when the person had the highest and the lowest contributions wage.

In the period from 1st January to 1st July of 2016 the average amount of unemployment benefit was 244.00 EUR per month.

The amount of an unemployment allowance (stipend) during training is 99.60 EUR for each calendar month - an allowance for an incomplete calendar month of the training is calculated in proportion to the number of calendar days spent in training. The amount is calculated and disbursed by the educational establishment carrying out the training on the basis of the agreement of the State Employment Agency and the educational establishment. The unemployment allowance shall be disbursed once in a calendar month during training. The allowance shall also be disbursed for the time period, when the training is not attended due to a justifiable reason and the unemployed person has submitted a document proving this. The State

Employment Agency shall, on the basis of the report submitted by the educational establishment, transfer the funds necessary for the disbursement of allowances to the educational establishment.

2.2.1 *Calculation of gross benefit*

Unemployment benefit is earnings-related benefit, the benefit amount depends on persons' social insurance contribution wage. Average amounts of unemployment benefit by length of the insurance period were:

Insurance Record	% of average social insurance contributions wage	average benefit amount in EUR (from 1 January to 1 July, 2016)
insurance record from 1 to 9 years	50%	213.22
insurance record from 10 to 19 years	55%	281.02
insurance record from 20 to 29 years	60%	266.24
Insurance record above 30 years	65%	295.85

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

No disregards.

2.3 *Tax treatment of benefit and interaction with other benefits*

Non-taxable.

One cannot receive the parental benefit and unemployment benefit at the same time. Payment of the parental benefit is suspended for the duration of the unemployment benefit.

Payment of the unemployment benefit is suspended for the duration of the sickness benefit.

2.4 *Benefit duration and waiting periods*

Duration of payment of unemployment benefit is 9 months.

If within the period of 12 months a person is being repeatedly granted unemployment benefit, it shall be granted, taking into account the duration (in calendar days) of the receipt of the preceding unemployment benefit granted and percentage differentiation of amount in such period.

The disbursement of unemployment benefit shall be suspended if an unemployed person:

- enters into a contract of employment regarding paid temporary performance of public works or enters into a contract of employment regarding participation in other active employment measures specified in the Support for Unemployed Persons and Persons Seeking Employment Law;
- obtains the status of an employee in accordance with the Law On State Social Insurance for a time period of up to two months (inclusive);
- receives the sickness benefit in accordance with the Law On Maternity and Sickness Insurance'.

The time period when the disbursement of unemployment benefits is suspended shall not be included in the time period for what benefit is granted.

The disbursement of unemployment benefits shall be discontinued if a person loses the status of an unemployed person; the State Agency of Social Insurance states, that person received unemployment benefit unlawfully; or if the person died.

In most cases the unemployment benefit is repeatedly granted, if disbursement of preceding unemployment benefit had been discontinued and a person lost the status of an unemployed person due to temporary work (obtained the employee status for a time period more than two months) and after loss of temporary work has reapplied for unemployment benefit.

After expiration of the disbursement term of unemployment benefit a person can apply for next unemployment benefit only after unemployment insurance contributions have been made for not less than 9 months in time period of 12 months.

There is no waiting period for unemployment benefit. Unemployment benefits shall be granted from the day when an unemployed person has submitted all the documents, which certify the right to the benefit. Only to a person who has become an unemployed person after the termination of work or service on the basis of his or her notice or due to a violation benefits shall be granted not earlier than two months after the day when the status of an unemployed person was obtained.

2.5 *Treatment of particular groups*

None.

2.5.1 *Young persons*

2.5.2 *Older workers*

2.5.3 *Others if applicable, including Disabled*

3. Unemployment assistance

None

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable, including Disabled*

4. Social assistance

Social assistance involves residual social benefits which act as a final safety net. Social assistance is financed from local municipalities' budgets (except of crises period from 2009 to 2012 when state co-funding was provided to two benefits) and is granted to households or separately living persons, whose place of residence is situated in municipalities' territory. According to Law there are 4 main types of social assistance benefits. Each has its own conditions of granting.

Types of Social Assistance Benefits:

- 1) Benefit for ensuring guaranteed minimum income level (GMI benefit);
- 2) Housing benefit;
- 3) Benefit in an emergency situation;
- 4) Other benefits for basic needs defined by municipalities.

Overview of the Guaranteed Minimum Income scheme (see Chapter 4 for more details):

Program name (local name)		Guaranteed minimum income benefit (pabalsts garantētā minimālā ienākumu līmeņa nodrošināšanai)
Age condition for social assistance receipt		--
Legal behavioural requirements	Registration as unemployed ¹	Yes
	Participation in integration measures	Yes
	Active job search ¹	Yes
	Work requirement ¹	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	Yes
	Legal behavioural requirements for adult family members other than the benefit claimant	None (Each adult should fulfil the duties of participation (tailored to his particular situation))
Determination of benefit levels		The national level of GMI is set by the Cabinet of Ministers. Municipalities have the right to determine higher levels for specific population groups.
Uprating mechanism of the benefit		No specific method - ad hoc revisions
Other supplements to basic benefit (per family)		1) The municipal council may impose a premium single-parent family amount of GMI level and is eligible to determine the level of GMI for various social groups (e.g. children, persons receiving old-age pension or disability pension) but it should not be lower than 49.80 EUR and not exceed 128.06 EUR per month.

Means-test for social assistance	Earnings disregards	Following benefits and types of income are disregarded: •Childbirth Allowance, •Disabled child care allowance, •Supplement to the State family benefit for disabled child , •Benefit to a disabled person requiring special care, •Transport allowance for disabled persons with restricted mobility, •Funeral Benefit, •Support for children suffering from coeliac disease, •Benefit for the services of an assistant, •Social assistance benefits from local municipalities, paid out according to criteria set by law, •Financial assets from charitable funds, •Student loan, •Social guarantees for orphans after graduation placement.
	Benefit withdrawal rate with regard to earned income	100%
	Assets included in means test?	The Cabinet of Ministers determines the types of property and assets that are not taken into account in the means test: •real property or a part thereof which is used as dwelling of the household, •the child's property and cash savings, •the housing furniture as well as clothes and household objects which belong to the person (household) at the time of the claim, • shares which cannot be disposed of due to pending insolvency proceedings. •Cumulative cash not more than 128.06 eur Municipalities may establish additional criteria, including : •landed property, woods and buildings, savings, cars and/or other vehicles.
	Other benefits included in the means test	All regular benefits, including unemployment and family benefits, and with exception for 5 state social benefits for the disabled and the benefit for the children suffering from celiac disease.
Benefit provision (eligibility (E), generosity (G)) varies with	age	Children and old-age pensioners can receive higher amounts in some municipalities (e.g. in Riga)
	family situation	According to the Cabinet Regulation Nr.550 Adopted 17 June 2009 Lone parents can receive higher amounts in some municipalities.
	over time	--
	other	--

Notes:

1. Conditions for healthy working-age individuals.

4.1 Conditions for receipt

Social assistance shall be provided on the basis of an evaluation of household's material resources – income and property, individually providing for the participation of each client in conformity with the Law on Social Security and Law on Social Services and Social Assistance.

Evaluating resources of a client to assess the eligibility for social assistance, the following benefits are not considered as income: additional payment to the state family benefit for a disabled child, disabled child care benefit, benefit for disabled who are in need of care, benefit for assistant service use, benefit to compensate expenditures of transport for disabled people who have restricted movement, benefit for child with coeliac disease, child birth benefit, funeral benefit, and the social assistance benefits provided by local municipalities.

In accordance with the Law on Social Services and Social Assistance, a person at working age, who wants to receive a social assistance benefit, except a one-time allowance in emergency situation, and is not employed (is not considered as an employee or self-employed person in accordance with the Law On State Social Insurance), shall register with the State Employment Agency as unemployed person, except a case when the person is:

- 1) a recipient of disability pension, old-age pension or State social security benefit;
- 2) a woman on maternity leave, one of child's parents or other person caring for a child during a child care period;
- 3) one of disabled child's parents, if the child does not receive appropriate care services;
- 4) a person at 15 years of age who is acquiring full-time education in general secondary or vocational secondary education institution or is a full-time student in an institution of higher education.

Subsequent to the assessment of income and other material resources of a person and his or her family members, a local government social service office shall decide on the granting of a social assistance benefit to the person who has claimed such benefit.

4.1.1. GMI benefit

The GMI benefit shall be granted and paid to a household or separately living person which income level is lower than GMI level, set by Cabinet of Ministers. GMI benefit is paid on the basis of net income and assets test (means test). GMI benefit can be paid in cash or in kind.

Adult claimants of GMI benefit have an obligation to fulfil the duties of participation prescribed in the Law On Social Security and Law on Social Services and Social Assistance.

GMI benefit reception doesn't affect the right of a person to claim other social assistance benefits.

4.1.2. Housing benefit

According to the Law on Social Services and Social Assistance housing benefit is defined as one of the mandatory social assistance benefits that shall be paid by local governments. The amount and payment procedures, as well as persons who are entitled to this allowance have to be determined by local municipality's regulation. Housing benefit can be paid in cash or in kind.

4.1.3. *Benefit in an emergency situation*

The local government grants a benefit in an emergency situation without means testing to a person (or a family) if due to a natural disaster or unforeseen circumstances he or she is not able to satisfy his or her basic needs.

The benefit in an emergency situation can be paid in cash or in kind.

4.1.4 *Other benefits*

Local government is entitled to disburse other benefits with the aim to maintain the basic needs stated by Law on Social Services and Social Assistance, for example, health care, mandatory education, etc. The amount and payment procedures, as well as persons who are entitled to this allowance have to be determined by local municipality's regulation. Other benefits can be paid in cash or in kind. Local government is entitled to disburse other benefits only if the justified demand for GMI benefits has been satisfied.

Changes from 01.12.2009

Municipalities have an obligation of granting other benefits on the basis of means-test and for aims related to people's basic needs.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

4.2.1.1. *GMI*

GMI benefit is calculated as a difference between GMI level for a household or separately living person and their income. The standard level of GMI per person at the national level is set by the Cabinet of Ministers: 49.8 EUR per month. Calculation of the benefit (in the standard case) does not involve application of the equivalence scale – the GMI level is the same for all adults and children in the household.

Amount of GMI benefit = GMI x m - household income

GMI – GMI level

m – number of persons in household

The local municipalities are eligible to determine the level of GMI for varied social groups, for example: children, persons receiving old-age pension or disability pension but not lower than the standard GMI level (49.80 EUR) and not exceeding 128.06 EUR per month. In the model, the rates for Riga are used: 56.91 EUR per month for working-age adults, 64.03 EUR for children (<18), and 128.06 EUR for old-age and disability pensioners.

Amount of GMI benefit = (GMI¹ x n¹ + GMI² x n² + GMI³ x n³ - household income)

GMI¹ – GMI level for adults in the household

n¹ - number of adults in the household

GMI² – GMI level for children or another social group

n² - number of children or another social group in the household

GMI³ – GMI level for old-age pension receivers or another social group

n³ - number of old-age pension receivers or another social groups in the household

Maximum amount GMI benefit per month:

For separately living person	For Household
49.80 EUR – 128.06 EUR	Since December, 2009 there is no limit for the maximum amount for households

In cases of refusing to fulfil duties of participation a total amount of GMI benefit reduces by part of adult who has refused.

4.2.1.2. Housing benefit

Established by local municipality's regulation (see Section 5).

4.2.1.3 Benefit in an emergency situation

According to type of emergency situation and depends on decision of local municipality.

4.2.1.4. Other benefits

Established by local municipality's regulation.

4.2.1.4 Irregular additional payments

4.2.1.5 Obligations of family members

4.2.2 Income and earnings disregards for benefit recipients and those starting a new job

See Section 4.1

4.3 Tax treatment of benefit and interaction with other benefits

Non-taxable.

4.4 Benefit duration and waiting periods

4.4.1. GMI benefit

Benefit is granted for the period a family (person) has been assigned a needy family (person) status. Needy family (person) status is assigned for the period of 3 to 6 months. After this period the situation of family (person) can be re-evaluated and needy status can be granted repeatedly. Also, if during the period when family (person) has obtained a needy family (person) status there have taken place changes in the family structure, income level or social status, a social service office has to make evaluation repeatedly. The decision on the assignment of needy status and GMI benefit granting shall be taken by the social service office within one month.

Needy family status and GMI benefit is granted to a family for a period of one month, if family's income level complies with the level defined by legislation, but other criteria are not satisfied.

4.4.2. Housing benefit

Established by local municipality's regulation. In some municipalities housing benefit is granted on a monthly basis, in other municipalities - once during the heating season.

4.4.3. Benefit in an emergency situation

Established by local municipality's regulation.

4.4.4. Other benefits

Established by local municipality's regulation.

4.5 Treatment of particular group

4.5.1 Young persons

Since July 2009 local municipalities are eligible to determine supplement to GMI benefit for single breadwinner families.

Since January, 2013 municipalities are eligible to determine differentiated level of GMI for varied social groups (from 49.80 EUR to 128.06 EUR). In Riga GMI level for children – 64.03 EUR.

4.5.2 Older workers

Since January, 2013 municipalities are eligible to determine differentiated level of GMI for varied social groups (from 49.80 EUR to 128.06 EUR). In Riga GMI level for persons receiving old-age pension or disability pension – 128.06 EUR.

4.5.3 Others if applicable, including Disabled

Since January, 2013 municipalities are eligible to determine differentiated level of GMI for varied social groups (from 49.80 EUR to 128.06 EUR). In Riga GMI level for persons in working age – 56.91 EUR

5. Housing benefits for rented accommodation

The autonomous functions of local governments include provision of assistance to residents in resolving housing related issues. Local municipalities have a duty to provide housing benefit to ensure material support for families or separately living persons with low income to pay rent and public utilities. According to Law on Social Services and Social Assistance a housing benefit is the second mandatory benefit (after GMI benefit) that shall be paid to a person or a family of the relevant local municipality. Housing benefit is paid from the municipal budget.

Housing costs and rules defining whether a family or a person is eligible to receive the benefit vary by municipality. Housing benefit can be calculated in the following way: the first way - when the housing cost allocation and expenses have been defined by municipality, or the second - using a fixed sum of benefit for person or household. In some municipalities, e.g., the capital Riga, benefit is calculated in both ways. In case of housing debts tripartite agreement is concluded among client, dwelling-house manager and Social service of Riga, and municipality has a right to grant an increased amount of housing benefit to state pension recipients, recipients of state social security benefit and families with under-aged children.

Housing benefits are granted and paid by Social service of municipality at the place of residence declared by the claimant and that is the place where claimant is actually living. The rights to housing benefits are granted to households or separately living persons (assistance claimant) being unable to meet basic needs. According to the Law on Social Services and Social Assistance, dwelling is one of the basic needs.

Overview of housing benefits (for greater detail refer to Chapter 5):

Regular housing benefits	Program name (local name)		Housing benefit (Dzīvokļa pabalsts)
	Entitlement depends on	Household type/size	Yes
		Income	Yes, except for children orphans
		Dwelling size	No
		Geographic location	No
		Actual rental cost	Yes
	Description of regular housing benefit		In some municipalities benefit is estimated as a difference between the social assistance level plus living space consumption costs and public utility service costs minus net income of claimant; in other municipalities the benefit is a fixed amount.
	Uprating mechanism of the benefit		Not specified
	Housing related support through other benefits		--

5.1 *Conditions for receipt*

Conditions of receipt are established by local municipality's regulation. Housing benefit is an income-tested benefit.

5.2 *Calculation of benefit amount*

5.2.1 *Calculation of gross benefit*

Housing benefit in Riga municipality is estimated as a difference between the GMI level set by Riga municipality (GMI*) for assistance claimant and the amount of consumption standards of living space and public utility service and total income of the assistance claimant:

$$P = \text{GMI}^* + K - I$$

P – amount of housing benefit;

GMI* – level of guaranteed minimum income set by Riga municipality for the assistance claimant;

K – consumption standards of living space and public utility service (limit for actual costs);

I – income of assistance claimants (including the benefit received in the respective month to ensure the GMI level).

The income of claimant must not exceed 355.72 EUR per month for separately living age or disability pensioner and 284.57 EUR per month per person in household.

For example in Riga "K" is comprised of housing expenditure items (e.g., heating, water, electricity, etc.) and average consumption standard per person in the household according by price list which are stated by municipal regulations.

In some of municipalities housing benefit is calculated and paid each month. In **2015**, the average housing benefit paid to person was at the amount of 13.56 EUR per month or 162.72 EUR in a year (in 2014, 12.75 EUR per month or 152.94 EUR in a year).

In some of municipalities the amount of housing benefit depends on the household type and type of dwelling, in other municipalities - certain constant amount per year is defined.

In the model, it is assumed that only the housing costs up to the limits defined by average expenditure on housing (see the table below) are covered by the benefit.

Composition of consumption expenditures by number of persons, 2016 (Average per household member per month, EUR)

	<i>Households</i>				
	<i>1 person</i>	<i>2 persons</i>	<i>3 persons</i>	<i>4 persons</i>	<i>5 and more persons</i>
Consumption expenditure - TOTAL	455.87	370.83	321.19	291.69	226.45

Housing, water, electricity, gas and other fuels	95.28	56.83	44.02	39.73	25.08
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(Data source: Central Statistical Bureau)

For instance, for a single person under Social Assistance (SA), the limit of actual housing costs is EUR 1143.36 (95.28*12) per year. This is smaller than the housing costs assumed in the model – 20% of the AW (EUR 2034.68 – data of 2016). Thus, the costs above 1143.36 EUR are ignored when the housing benefit is calculated.

5.2.2 *Income and earnings disregards*

It is possible to receive the housing benefit together with other social assistance benefits.

The kinds of income excluded from calculation of housing benefit - see Section 4.1

The assistance claimant must complete the subsistence declaration where household income and housing expenditures are indicated. Benefit claimants must declare their income every 3 to 6 months. However, a large number of municipalities grant housing allowance once a year.

The assistance ability of single breadwinners is not taken into account. When estimating the assistance amount only net income of household is taken into account. The income from which the income tax and state social insurance contributions are paid is declared only after payment of the income tax and social insurance contributions.

The following kinds of income are declared in the assistance claimant's subsistence declaration:

- 1) income from paid employment;
- 2) state social insurance benefits;
- 3) pensions (including supplementary payment to pensions) and State social benefits, stipends, means of subsistence, income from national support programs (in cash) - the last three months;
- 4) income from economic activity, royalties and fees, rent (lease) and sales of real property, rent and confiscation of movables - the last 12 months;
- 5) financial support of a spouse or a parent of child living separately - the last 12 months;
- 6) other income.

5.2.3 *Costs eligible for housing benefits*

5.3 *Tax treatment of benefit and interaction with other benefits*

Benefits are not liable to a tax.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

There are no uniform conditions. In some of municipalities where the housing benefit calculation takes into account the level of GMI and for children a higher GMI level is prescribed it affects families with children in housing benefit.

5.4.2 *Older workers*

None.

5.4.3 *Others if applicable, including Disabled*

There are no uniform conditions. In some of municipalities where the housing allowance calculation takes into account the level of GMI and for disability and old-age pensioners, as well as social security benefit receivers a higher GMI level is prescribed, it affects these household's in housing allowance.

6. Family benefits

Overview of family benefits (for greater detail refer to Chapters 6 and 8):

Program name (local name)			Family state benefit (Ģimenes valsts pabalsts)
Type of benefit			Universal
Eligibility criteria	Age limits for children (in parentheses if student)		Minimum 1 year. Maximum 15 years (19 if continuing education in secondary or vocational school).
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		None
Upgrading mechanism of the benefit			Ad hoc
Benefit amount	Benefit amount per child varies with (where +: positively; 0: no influence; -: negatively; --: fixed amount per family)	Age of child	0
		Number of children	+
Means test	Earnings part of means test?		None
	Earnings disregard		-
	Withdrawal rate of the benefit		-
	Assets part of means test?		-

6.1 Conditions for receipt

Family state benefit shall be granted to a person (a parent or care-giver) that is raising a child, which is at least one year old and not older than 15; or, if older than 15, attends general or professional educational school and is not married. In such a case the mentioned benefit shall be granted for a period while a child attends the corresponding educational establishment, but only until the date when the mentioned person reaches 19 years of age or marries. If a child under the custody reaches 18 years of age, the benefit shall be granted to the child himself/herself due to reaching a majority (18 years). The benefit shall not be granted for a child that, in accordance with the number of places financed by state or municipality, is admitted to professional educational programs and receives a scholarship.

Till 2nd May 2010 the family state benefit was provided for all children from the day of birth. In accordance with amendments adopted by the Saeima in 16th June 2009 to the Law on State Social Benefits”, for children born after **2nd May 2010** the benefit is allocated only after child reaches the age of one year.

Currently the system of family benefit regards persons as dependent children no longer than till the age of 19 years. In the case of lone parent (see section 9.1.) the payment of state social security benefit shall be carried on if after reaching the majority (18 years), a person attends general or professional educational establishments and is not older than 20 or studies at day department (full time education) of any higher educational establishment and is not older than 24.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

From the **1st January 2015** the amount of family state benefit is 11.38 EUR per month for the first child, twice as much for the second child (22.76 EUR), 3 times as much for the third and following children (34.14 EUR).

From the **1st July 2009** on a temporary basis in the period from 1 July 2009 to 31 December 2014 (in accordance with the law “On state benefits payment during period from the year 2009 till the year 2014” adopted in Saeima on the 16th June 2009 with amendments) the family state benefit was reduced to the amount of the flat sum of 11.38 EUR per month per each children, regardless the number of children in a family (until July 2009 the benefit ranged from 11.38 EUR per month for the first child in family to 20.49 EUR for fourth and further children).

Within family benefits there are following supplementary benefits available for parents or care-giver (guardian):

- *Supplement to family state benefit for disabled child.* If family state benefit is granted for a handicapped child under 18, an additional payment at the amount of 106.72 EUR per month shall be granted additionally to the mentioned benefit. A person that raises a disabled child keeps the right to receive this supplement regardless the payment of a family state benefit until the child reaches 18.
- *Child birth benefit.* Child birth benefit is granted to one of the child’s parents or to a person who took a guardianship of a child until one year of age. Right to receive the child birth benefit is granted since the 8th day after the child has born or since the day when guardianship is established. The amount of child birth benefit is 421.17 EUR for every born child (one-off payment). Before **4th April 2010**, parents received a one-off childbirth benefit of 421.17 EUR with additional payment at the amount of 142.29 EUR for the first child birth, 213.43 EUR for the second child birth and 284.57 EUR for the third child and the next children birth. Additional payments for the birth grant were abolished and for all children born after 4th April 2010 child birth benefit shall be paid at the amount of 421.17 EUR (without additional payment).
- *Care of disabled child benefit,* which is granted to a person who cares for a child for whom the State Medical Commission for Expert-Examinations of Health and Working Ability has specified invalidity and issued an opinion regarding the necessity for special care in relation to serious physical and functional disorders. The payment of care of disabled child benefits shall be terminated when the time period ends for which the invalidity and the necessity for special care have been specified, or when the child reaches the age of 18 years. The amount of the care of disabled child benefit is 213.43 EUR per month. The state also covers social insurance

contribution payments on behalf of persons receiving disabled child care benefit amounting to 20% from 71.14 EUR.

6.2.1.1 *Irregular additional payments*

Lump-sum benefit in case of three children birth

If 3 children are born, the lump-sum benefit is granted according to the order of the Cabinet of Ministers. The benefit is granted to a family in addition to other benefits as a lump sum benefit at the amount of 8538 EUR. The income tax is withheld from the benefit at the amount of 23%. The situation is unusual – the amount of granted lump sum benefit is the same as the amount of paid benefit (the benefit granted by government is after tax payments). The state withholds the tax and collects that tax deductions. In that case this lump sum benefit can't be included in the list of taxable benefits.

6.2.2 *Income and earnings disregards*

No disregards.

6.3 ***Tax treatment of benefit and interaction with other benefits***

Non-taxable.

6.4 ***Treatment of particular groups***

No special rules.

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable, including Disabled*

7. Childcare for pre-school children

Information updated for year 2015 (in accordance with OECD guidelines)

Full-time childcare

In compliance with the Law on Education pre-school establishments carry out a pre-school education programme that is the first phase of education.

Pre-school establishments that are registered in the Register of Education Institutions of the Republic of Latvia and have been granted a licence for their pre-school education programmes implement pre-school education. As of 5 September 2015, 78873 children attended local governments and private pre-school institutions.

Number of children in the pre-school childcare institutions by year of birth (on the 5st September, 2015; general schools, special schools, interest centres are not included)										
	TOTAL	2015	2014	2013	2012	2011	2010	2009	2008	2007 and earlier
Number of children	78873	19	2873	12967	15501	15085	15385	15736	1304	3

(Data source: Ministry of Education and Science)

Number of children in the pre-school childcare institutions by year of birth and type of group (on the 5st September, 2015; general schools, special schools, interest centres are not included)				
	TOTAL	of which born in		
		2013 and later	2011 and 2012	2010 and earlier
Number of children	78873	15859	30586	32428
of which groups with length of staying per day				
≤7 hours	409	100	132	177
7,1 - 12 hours	74691	15138	29008	30545
12,1 - 24 hours	2495	442	1060	993
24 hours	1278	179	386	713
Of total				

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Boarding-school type	0	0	0	0
Sanatorium type	0	0	0	0
Groups for children with special health care	4433	167	1283	2983
Others	74440	15692	29303	29445

(Data source: Ministry of Education and Science)

Children up to 7 years of age acquire pre-school education programme. Depending on the state of health and psychological preparedness of children and according to the parents' wishes and decision of the family doctor, the mastery of the pre-school education programme may be prolonged or shortened by one year.

The preparation of five-year and six-year old children for the acquisition of primary education is compulsory.

On September 1st, 2013 (continued in 2014, 2015, 2016) the Latvian government started a pilot project to provide financial support for parents who need child care support for their children aged 1.5 - 4 years who are not benefiting from public childcare (from the age of 5, municipalities have a legal obligation to provide pre-primary and primary education to children). The financing will be provided until the 31th of May 2016 in order to solve the problem of long waiting lists for public kindergarten registration in some municipalities and help parents to return to work at the same time providing safe conditions for the child.

The combined co-funding paid for by the state and by local government to the child should be enough to decrease parents' expenditure on private kindergartens or child-minding services. Central government support for full-time child care is up to EUR 142, with the condition that state and municipal support combined (most municipalities already provide some support addressing such situations) does not exceed a certain limit. For example it cannot exceed EUR 228 per child in Riga planning region and approximately EUR 185 in other regions and rural territories. The state spent EUR 10.38 million in 2015 and has allocated another EUR 2.3 million for 2016.

7.1 *Out-of-pocket childcare fees paid by parents*

The payments that are made by parents for the acquisition of pre-school education are the following:

- 1) In the general mixed-type pre-school establishments parents pay for catering of children but all other expenses (maintenance of buildings, administrative expenses, salaries of the administrative staff and teachers except the salaries of teachers involved in the preparation of 5 and 6 year old children for school) are covered by local government. The salaries of those teachers who prepare the five and six year old children for school are paid from the state budget.

The founder takes the decision on the costs of catering and these costs are different for each local government. Within its administrative territory the local government according to criteria it has accepted may fix the size of discount to parents and does so in practice.

- 2) The parents of the pupils of special education institutions need not make any payments since all expenditures are covered from the state target subsidy and local government budget.
- 3) In private education institutions parents cover all expenses related to stay at school and the mastery of the pre-school education programme.
- 4) Parents whose children attend other education institutions (general schools, interest centres for children and juveniles, etc.) cover the catering costs.

Parents have to pay fees to cover management expenses and children's meals. Meals are provided three times a day (breakfast, lunch and afternoon snacks) at a low cost, usually totalling EUR 2 to 4 per day. Some charges may be made for additional services, for instance, foreign language classes for children. Municipalities may reduce the fees for meals for children from low-income families, and most of those in rural areas do. Since 2013, the central and local government have financed learning tools such as different training materials, books and workbooks. Parents pay only for items children use personally such as pencils, crayons and paper. The learning materials for 5- and 6 year-olds are financed from central and local government budgets, but those for 1.5 to 4-year-olds from the local government budget.

Part-time childcare

In local government's institutions parents have to pay only for catering. If child stay in institution only part of day, the payment remains the same. There are different payment rules in private institutions.

7.2 Child-care benefits for formal centre-based care

There are two kinds of child-care benefits in Latvia: earnings related **Parental benefit** for employed (socially insured) persons and flat-rated **Childcare benefit** for persons raising children aged between 1 to 2.

7.2.1 Conditions for receipt

Parental benefit in accordance with the Law "On Maternity and Sickness Insurance" is paid to persons who are on child care leave or continue to work during child care period (are not on child care leave) and who are raising children under 1 or 1.5 year of age, if these persons have been employed on the day the benefit is granted (is considered to be an employee or self-employed person in accordance with the Law on State Social Insurance). The benefit shall be granted to one of the parents or to the person who has taken guardianship, adoption or foster family's duties of a child.

From 1st October 2014 the person can choose length of parental benefit payment – up to 1 year of child age (in amount of 60% from social insurance contribution wage) or up to 1,5 year of child age (in amount of 43,75% from social insurance contribution wage). Person can receive parental benefit and work at the same time (in amount 30% from granted benefit). Simultaneously with parental benefit person can receive also child care benefit 171 EUR per month. The minimum amount of parental benefit is not applied.

Childcare benefit in accordance with the Law on State Social Benefits shall be granted to one of the parents or a person who has taken guardianship of a child and who cares for a child if this person is raising children under 2 years of age.

Supplement to the childcare benefit for twins or more children arisen in one confinement provided to persons who receive childcare benefit for twins or more children arisen in one confinement for each forthcoming child.

7.2.2 *Calculation of benefit amount*

7.2.2.1 *Calculation of gross benefit*

From 1st October 2014 the amount of **parental benefit** depends on chosen length of parental benefit payment. With length of benefit payment up to 1 year of child's age the amount is 60% from social insurance contribution wage; with length of benefit payment up to 1.5 year of child's age the amount is 43.75% from social insurance contribution wage. The parental benefit for person who receives the parental benefit and works at the same time is in the amount of 30% from the granted benefit.

Average insurance contribution wage and benefit amount is calculated in accordance with the CM regulations No 270 from July 28th 1998 "Average insurance contribution wage calculation procedure and procedure for granting, calculation and payment of state social insurance benefits".

The average insurance contributions wage for the parental benefit shall be calculated as for other social insurance benefit - from the wage subject to insurance contributions of the insured person for the 12 calendar month period, concluding such period two calendar months prior to the month when an insurable event occurred.

In the period from 1st January to 1st July 2016 the average amount of parental benefit was 340.71 EUR per month.

The **childcare benefit** is granted in accordance with the Article 7 of the Law on State Social Benefits and the CM Regulations No. 1609 of 22nd December 2019 "Regulations regarding the Amount of the allowance for Child Care and supplement to the allowance for Child Care and Parent's Benefit for the birth of twins or more children born during one delivery, its review, granting and disbursement procedure of the allowance and the supplement".

The amount of childcare benefit:

- to persons who are raising children aged under 1.5: 171 EUR per month;
- to persons who are raising children aged between 1.5 to 2: 42.69 EUR per month.

The amount of the **supplement** is:

- to persons who are raising children aged under 1.5: 171 EUR per month for each forthcoming child;
- to persons who are raising children aged between 1.5 to 2: 42.69 EUR per month for each forthcoming child.

(in accordance with the Article 7 of the Law On State Social Benefits and the CM Regulations No. 1609 of 22nd December 2019 "Regulations regarding the Amount of the allowance for Child Care and supplement to the allowance for Child Care and Parental Benefit for the birth of twins or more children born during one delivery, its review, granting and disbursement procedure of the allowance and the supplement").

The benefit calculation formula is unified for all benefit receivers (regardless of part time use).

7.2.2.2 *Income and earnings disregards*

Parental benefit is social insurance benefit, earnings-related.

Childcare benefit is universal state social benefit, flat-rated and not means or income tested.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Parental benefit is non-taxable, childcare benefit is non-taxable. Parental benefit is not granted for a child due to his/her birth if maternity benefit is paid for the same period. In turn childcare benefit shall not be granted for a child if due to his/her birth a maternity benefit has been granted during the same period of time.

In accordance with amendments to the Law on Maternity and Sickness Insurance adopted in the Saeima by the 16th June 2009 from the 1st January 2010 the payment of parental benefit shall be interrupted, if person in the same time period receives the unemployment benefit.

7.2.4 *Treatment of particular groups including Disabled*

No special rules.

7.3 **Child care allowance for children not using child care centers**

None

8. Employment-conditional benefits

None

8.1 ***Conditions for receipt***

8.2 ***Calculation of benefit amount***

8.2.1 *Calculation of gross benefit*

8.3 ***Tax treatment of benefit and interaction with other benefits***

8.4 ***Benefit duration***

8.5 ***Treatment of particular group***

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable, including Disabled*

9. Lone Parent benefits

Special State support for single parent families (special lone parent benefit) is not provided, as social security benefits are granted to individuals, and not according to family structure. Support for single parent families is provided taking into account the individual needs.

Thus the Administration of the Maintenance Guarantee Fund (which is under the responsibility of the Ministry of Justice) disburses child support (minimum maintenance amount) to children in case if one of the parents does not fulfil his/her obligations towards the child and does not ensure the minimum amount of child support. In case of loss of one or both breadwinners (parents) the state social security benefit is granted to a child. For needy families social assistance is provided, based on the evaluation of household's income and property.

Two benefits are considered in this chapter:

- A. State Social Security Benefit
- B. Maintenance Guarantee Fund

9.1 Conditions for receipt

State Social Security Benefit

State social security benefit shall be granted to a child that has not reached the majority (18 years), has lost one or both breadwinners (parents) and is not married; the benefit shall be paid to parents of a child, guardian or any other person that actually raises a child. The benefit payments shall be carried on if after reaching the lawful age, a person attends general or professional educational establishments and is not older than 20 or studies at day department (full time education) of any higher educational establishment and is not older than 24.

Admittedly, a State social security benefit shall be granted to a person who does not have the right to receive a State pension (except the pension received by a disabled person for the loss of a provider) or insurance compensation for damages related to an occupational accident or occupational disease.

Maintenance Guarantee Fund

The purpose of Maintenance payment for children is to ensure the implementation of the right of a child to social security. The fund began activity in 1st August 2004 and provides minimum maintenance support for those children, who do not receive it from own parents. Spent money is recovered in regress procedure; it could be even money deduction from parents' pension. The aim of the Maintenance Guarantee Fund is to supply children with the minimum amount of means of subsistence as laid down by the Cabinet of Ministers in those cases when the parents are unable to do so. The Fund will be created using the resources of the state budget, the bailiff's contributions and recourses obtained through retrogression from a person who deliberately avoids paying for the means of subsistence. Means of subsistence (alimony) is granted to children till they reach the age of 18 in the event of their parent's divorce.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

State Social Security Benefit

The amount of state social security benefit is 64.03 EUR per month in general case, but for children disabled from childhood – 106.72 EUR . In cases when the benefit is granted to three or more children, the amount shall not be less than 50% from the amount of state social security benefit that is granted to each child.

Maintenance Guarantee Fund

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According to the amendments to Law “Maintenance Guarantee Fund Law”: starting from 1st January 2016 till 31st December 2016 the amount of payment is 92.50 EUR for each child aged below 7, each child aged 7-17 receives 111.00 EUR, but not more than the amount specified in the court adjudication, as well as not exceeding the amount determined by the Cabinet of Ministers in accordance with Section 179, Paragraph five of the Civil Law.

9.2.1.1 *Irregular additional payments*

9.2.2 *Income and earnings disregards*

No disregards, universal benefit.

9.3 ***Tax treatment of benefit and interaction with other benefits***

Non-taxable.

9.4 ***Benefit duration***

See chapter 9.1.

9.5 ***Treatment of particular group***

No special rules.

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable, including Disabled*

Social State Benefit to Participants of Mitigation of Consequences of Chernobyl NPS or their Family.

9.5.3.1. Condition for receipt

Entitlement to benefit:

- participants of the Chernobyl nuclear clean-up (CNC disabled person), starting from the date, when disability has been stated, if disability is due to Chernobyl nuclear clean-up;
- family members of the deceased participant of the Chernobyl nuclear clean-up (CNC participant) from the date of death of the CNC participant, if the cause of death is due to Chernobyl nuclear clean-up;

Family members of the CNC participant are his children who are not older than 18 (until 24) years if they are full time students of the secondary or higher educational establishment) as well as the survived spouse (who are not intermarry with another person), parents and grandchildren if they had been supported by the deceased.

The amount of the Social State Benefit to Participants of Mitigation of Consequences of Chernobyl NPS or their Family is 100 EUR per month. Benefit is granted in accordance with the Law “On Social Protection of the Participants of the Rectification of Consequences of the Accident at the Chernobyl Atomic Power

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Plant and Persons who Suffered due to the Accident at the Chernobyl Atomic Power Plant” and the Cabinet of ministers` regulation.

Non-taxable.

10. Tax system

The tax system consists of state taxes, state fees, local government fees, directly applicable taxes and other obligatory payments set in European Union regulatory enactments, as well as social insurance contributions.

Social insurance contributions guarantee security to person in case of old-age, death, unemployment, disability, maternity, child care, sickness, accidents at work and occupational diseases. The basis of compulsory social insurance contributions for the employee is all income from paid work from which personal income tax is to be calculated, without deduction of the non-taxable minimum, tax exemptions and justified expenses for which the taxpayer is entitled to reduce the taxable income.

Salaries, pensions, income from economic activity (self-employment) are subject to Personal Income Tax.

10.1 Income tax

In 2016 personal Income Tax rate is 23%, taxation period – calendar year. The tax shall be calculated and paid into the budget in two ways:

- 1) in advance – payer of the income withholds tax at the source of income and pays it into the budget (from salaries, pensions, authors fees (royalty), donations in cash and other objects, scholarships, etc.);
- 2) and in accordance with the summary procedures, by submitting an annual income declaration (from income of economic activity and declared deductible expenses).

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

- 1) Basic allowance (non-taxable minimum):

Since 2016 the amount of basic tax allowance is not a fixed amount but it depends on the level of person's taxable income. The allowance is called "differentiated monthly non-taxable minimum". During the tax year (when withholding taxes are calculated at source) the minimum amount of allowance is applied to all taxpayers. At the end of the tax year, the State Revenue Service (SRS), on the basis of the data regarding person's annual income, recalculates the personal income tax, applying higher tax allowance to the taxpayers with lower income. Thus, low-income earners may receive a tax refund.

As of 1 January 2016 the minimum tax allowance is 75 EUR/month (TA_{min}) and the maximum is 100 EUR/month (TA_{max}). The persons with the taxable income below 380 EUR/month (Y_1) are eligible to the maximum amount. The persons with the taxable income above 1000 EUR/month (Y_2) are eligible to the minimum amount. If taxable income is between these two income thresholds, the tax allowance gradually decreases. The allowance withdrawal rate (K), i.e. the amount by which the allowance is reduced with each additional euro of income above Y_1 , is calculated according to the following formula:

$$K = (TA_{max} - TA_{min}) / (Y_2 - Y_1)$$

- 2) Non-taxable minimum for pensions:

- pensions granted in conformity with the law “On State Pensions⁴” before 1st January 1996 are not subject to taxation;
- for persons to whom a pension is granted or recalculated after 1st January 1996 in conformity with the law “On State Pensions” or long service pension, or special state pension in conformity with Latvia’s laws and regulations, or pension with conformity with foreign states laws and regulations, a non-taxable minimum is 2820 EUR per annum.

3) Tax reliefs:

- relief on dependants (for each dependant) in 2016 - 2100 EUR per annum (175 EUR per month)
- relief for disable persons:
- I and II invalidity group in 2016 - 1848 EUR per annum (154 EUR per month);
- III invalidity group in 2016 - 1440 EUR per annum (120 EUR per month);
- Additional relief for politically repressed persons in 2016 - 1848 EUR per annum (154 EUR per month).

The taxpayer can apply relief on following dependents:

- for a minor child and for a child while he or she continues the acquisition of a general, professional, higher or special education, but not longer than until reaching 24 years of age;
- for a grandchild or a child taken for raising while he or she continues the acquisition of a general, professional, higher or special education, but not longer than until reaching 24 years of age, if it is impossible to recover the allowance (alimony) from the parents of the child;
- for a brother and sister who is under the age of 18 years as well as for a brother and sister while he or she continues the acquisition of a general, professional, higher or special education, but not longer than until reaching 24 years of age - if they do not have parents who are able to work;
- for the dependants of the dependent persons;
- for a person under guardianship or trusteeship of the payers.

As of 2016, the allowances for unemployed dependent spouse or parent are applicable only if the spouse or parents are disabled.

4) Deductible expenses:

- Social security contributions paid by individual;
- Solidarity tax (introduced in 2016, see section 10.1.3);
- Contributions into private pension funds or life insurance (accrual) premiums not exceeding 10% of taxpayer gross income;
- Health care and education expenses - 215 EUR per year;
- Planned operations and dentistry expenses;
- Charitable donations;
- Total amount of last three types of deductible expenses shall not exceed 20% from the taxable income of the taxpayer.

10.1.1.2 Standard tax credits

⁴ From 2016 differentiated monthly non-taxable minimum has been introduced (depending on the income). In 2016 it is applied as usual 75 EUR/month, but at the end of the year the tax payers with lower wages can submit to the State Revenue Service the tax return and get back the overpaid tax.

There are no tax credits in Latvia.

10.1.2 *Income tax schedule (central government income tax)*

Personal Income Tax is a flat rate: 23%.

10.1.3 *State and local income taxes*

From 1st of January 2016 a new tax has been introduced – solidarity tax. The tax rate is set at the same level as the social security contributions rate. The tax is paid for the income exceeding the maximum amount of the social security contributions object. The purpose of this tax is to eliminate existing regressivity in the labour tax system and to equalize the tax burden on labour between low-wage earners and the high wage earners. This problem appeared when the social contribution ceiling was re-introduced in 2014 (in 2014 the social contribution ceiling was 46 400 EUR/year, but in 2015 and 2016 – 48 600 EUR/year).

Solidarity tax applies to all socially insured individuals – employees, self-employed, if their income over a calendar year exceeded the maximum amount of mandatory contribution of the statutory social insurance. Employers are also subject to solidarity tax (in the same way as they are liable for paying employer social insurance contributions).

Solidarity tax is administered by the State Revenue Service, while the State Social Insurance Agency ensures registration and transfer of the calculated and paid tax in the national core budget.

10.2 *Treatment of family income*

Latvia has not household taxation or joint taxation for spouse; taxpayer pays personal income tax individually.

10.3 *Social security contributions and payroll taxes*

10.3.1 *Contributions payable by employees and benefit recipients*

In 2016 the rate of compulsory social insurance contribution if the employee is insured for all social insurance types is 34.09% of wage before taxation, where the employer pays 23.59% and the employee – 10.50% (of which, 14% finances the notional defined-contribution (NDC) or 1st pillar pension scheme and 6% is directed to the person's individual account within the state mandatory funded defined contribution pension scheme (FDC) or 2nd pillar pension scheme). Social insurance contribution covers:

- state pensions insurance – 23.86%
- unemployment insurance – 2.08%
- occupational accident insurance – 0.54%
- disability insurance – 3.11%
- maternity and sickness insurance – 3.05%
- parental insurance – 1.45%.

Individuals are insured and social insurance contribution payments are made in respect of those risks that may actually affect them. Therefore, the rate of social insurance contribution for special categories of payers has been reduced, excluding certain types of insurance. In 2016 the maximum object of mandatory

social payments is 48 600 EUR per year, but minimum amount for the self-employed persons and for persons who joined social insurance voluntary – 4440 EUR per year (370 EUR per month).

Employers, self-employed persons and other socially insured persons shall pay solidarity tax from the income that exceeds the maximum object of social security contributions (48 600 EUR in 2016) from the beginning of the year. The solidarity tax shall be paid in the form of social contributions by applying social contribution rates and object, as well as complying with the procedures determined for making contributions, periods for the submission of reports and making of contributions.

The personal income tax (23%) is calculated from the gross wage from which the employee's contribution part has been deducted. The non-taxable minimum, tax concessions and eligible expenses for which the taxpayer has the right to reduce the taxable income are applicable.

10.3.2 *Contributions payable by employers*⁵

An employee shall make social insurance contributions through his or her employer. The employer shall deduct the contributions to be made by the employee and pay them into a special budget account.

Employer calculates social insurance contributions of the employee by multiplying the work income by the rate of social insurance contributions of the employee. Employer's social insurance contributions employer calculates by multiplying the work income by the rate of social insurance contributions of the employer. Total calculated social insurance contributions acquired by summing up the social insurance contributions of the employee and the social insurance contributions of the employer.

For example, if an employee's gross wage is 320 EUR, the employer makes the following calculation: he multiplies the contribution base by the contribution rate set for the employer ($\text{EUR } 320 \times 23.59\% = \text{EUR } 75.49$). He also calculates the part of contributions to be made by the employee by multiplying the contribution base by the contribution rate set for the employee ($\text{EUR } 320 \times 10.50\% = \text{EUR } 33.60$). Total sum of contributions payable is calculated by adding together the employers and employee's part ($\text{EUR } 75.49 + \text{EUR } 33.60 = \text{EUR } 109.09$ per month).

10.3.3 *Payroll taxes*

In accordance with the law *On Protection of Employees in Case of Employer's Insolvency* employers who according to law can be announced as bankrupt shall pay entrepreneurship risk state duty into the Employee Claims Guarantee Fund to satisfy employees claims in the event of the insolvency of enterprise. The holder and manager of the resources of the Employee Claims Guarantee Fund shall be the State agency "Insolvency Administration". From the Employee Claims Guarantee Fund the following claims may be covered:

- 1) work remuneration for the last three months of the employment relationship during 12 months before entering insolvency;
- 2) reimbursement for annual paid leave (holiday payment) which an employee became entitled to receive within 12 month period before entering insolvency;
- 3) reimbursement for other types of paid absence within the last three months of the employment relationship during the 12 months before entering insolvency;
- 4) severance pay in minimum statutory amount stated by the law;

⁵ There are cases when contributions are paid by the state.

- 5) reimbursement for damages due to an accident or occupational disease for the whole unpaid period;
- 6) reimbursement for damages to be paid for four subsequent years ahead.

After the approval of the amount to be paid for the satisfaction of the employee claims, the Insolvency Administration shall transfer the mandatory State social insurance contributions, personal income tax and reimbursement for damages for the four subsequent years to the budgets specified in regulatory enactments, but shall transfer the amounts to be paid out to employees to the administrator into the account of the insolvent employer for further payment to the employees.

In 2016 the monthly value of duty is 0.36 EUR per payroll employee (self-employed persons are not covered).

10.4 *Treatment of particular group*

10.4.1 *Young persons*

None

10.4.2 *Older workers*

Employees who have reached the retirement age make social insurance contribution payments for pensions insurance, occupational accident insurance, maternity and sickness insurance, parental insurance and the insurance contribution rate is 28.75% in 2016.

10.4.3 *Others if applicable*

For example, for self-employed persons the insurance contribution rate is 30.58% in 2016 and they make social insurance contribution payments for pensions insurance, disability insurance, maternity and sickness insurance, parental insurance.

11. Part-time work

Labour Law determines, that employer and employee may agree in an employment contract on part-time work that is shorter than the regular daily or weekly working time.

An employer shall determine part-time work if requested by a pregnant woman, a woman for a period following childbirth up to one year, but if the woman is breastfeeding then for the whole period of breastfeeding, as well as by an employee who has a child less than 14 years of age or a disabled child under 18 years of age.

The same provisions, which apply to an employee who is employed for regular working time, shall apply to an employee who is employed part-time.

Refusal by an employee to change over from regular working time to part-time or vice versa may not of itself serve as a basis for a notice of termination of an employment contract or restriction of the rights of an employee in any other way. This provision shall not restrict the right of an employer to give a notice of termination of an employment contract if such notice is adequately substantiated with the performance of urgent economic, organisational, technological or similar measures in the undertaking.

An employer shall, at the request of an employee, transfer the employee from regular working time to part-time or vice versa if such possibility exists in the undertaking.

An employer shall inform employee representatives regarding the possibility of employing employees part-time in the undertaking if the employee representatives request such information.

11.1 *Special benefit rules for part-time work*

There are no special benefit rules for part-time workers.

11.2 *Special tax and social security contribution rules for part-time work*

None

12. Policy developments

12.1 Policy changes introduced from 1st July 2015 till 1st July 2016

1) From 2016 the differentiated non-taxable minimum has been introduced, i.e. the amount of the basic tax allowance is not a fixed amount but it depends on the level of person's taxable income. It is higher for low-income earners (see details in 10.1.1.1).

2) From 2016 the allowance for dependents has been raised from 165 to 175 EUR. From 2016 the relief may not be applied anymore for such groups of persons - an unemployed spouse, unemployed parents and grandparents, a person in whose favour after the court judgment the taxpayer is recovered daily subsistence allowance (alimony).

3) From 1st of January 2016 a new tax has been introduced – solidarity tax. The tax rate is set at the same level as the social security contributions tax rate and the tax is paid for the income exceeding the maximum amount of the social security contributions object. The purpose of this tax is to eliminate existing regressivity in the labour tax system and to equalize the tax burden on labor between low-wage earners and the high wage earners. (See details in 10.1.3)

4) On the 21st October 2014 the government approved the concept paper “Setting of the minimum income level”. The overall aim of the concept paper is to reduce poverty and income inequality basing upon principles of solidarity. In the concept paper it is proposed to define a common and adequate minimum income level based on concrete calculation methodology which will serve as the reference point to develop support measures set within the social security system (state social benefits, social insurance, social assistance).

5) On 24th October 2015 by the Regulations No 656 of the Cabinet of Ministers the minimum monthly wage within the framework of regular working time (40 hours per week) is set at 370 EUR from 1st January of 2016.

Monthly minimum hourly wage rate is calculated by using a formula that has been in force since beginning 2016 and takes into account the minimum monthly wage, the respective working time arrangements as well as the total number of working hours in the respective month:

$$TL_{min} = MDA / h, \text{ where}$$

TL_{min} - minimum hourly rate;

MDA - minimum monthly wage;

h – number of normal working hours per month (5 working days a week and 40 hours a week or 5 working days a week and 35 hours a week, or 6 working days a week and 40 hours a week, or 6 working days a week and 35 hours per week), does not perform work on public holidays, which fall on a working day specified for the employee.

6) From 2016 changes have been made regarding the PIT eligible expenditures:

- application of eligible expenditure of children hobby education programmes;
- application of eligible expenditure to the amounts transferred in the form of charitable donation or gift to a political party or association of political parties registered in the Republic of Latvia;

- inclusion of the scheduled healthcare service (obtaining the ovum (obtaining the follicle) through puncture and production and acquisition of other kind of prosthetic appliances connected to the human body) to a full extent into the PIT eligible expenditure;
- rounding up of the amount of expenses for the use of educational and medical treatment services to be included in the PIT eligible expenditure from 213.43 euro to 215 euro.

7) In 2016 the maximum object of mandatory social payments was set 48 600 EUR per year, but minimum amount for the self-employed persons and for persons who joined social insurance voluntary – 4440 EUR per year (370 EUR per month).

8) Maintenance payment for children increased (see section 9).

12.2 ***Future Policy changes announced since 1st July 2016***

1) The following changes are announced regarding differentiated non-taxable minimum:

- as of 1 January 2017 the monthly non-taxable minimum will be reduced from 75 euro to 60 euro and it will be applied to the wage above 1, 100 euro per month, and the maximum non-taxable minimum will be increased from 100 euro to 115 euro and it will be applied to the taxable income of up to 400 euro per month;
- as of 1 January 2018 and as of 1 January 2019 the maximum non-taxable minimum will be increased, the minimum non-taxable minimum will be reduced and the changes will be introduced in the limits of the taxable income subject to the non-taxable minimum (see the Table below). As of 1 January 2020 the monthly non-taxable minimum will be zero and it will be applied to income above 1, 500 euro per month, but the maximum non-taxable minimum will be 160 euro per month, to be applied to income until 460 euro per month;

Differentiated Non-Taxable Minimum for 2016 - 2020

Criteria	2016	2017	2018	2019	2020
Maximum non-taxable minimum	100	115	130	145	160
Minimum non-taxable minimum	75	60	40	20	0
Maximum limit of taxable income	1 000	1 100	1 200	1 350	1 500
Minimum limit of taxable income	380	400	420	440	460

2) From 2017 the allowance for dependents can be applied for an unemployed spouse in whose maintenance is a minor child with disability.

3) In order to limit personal income tax planning, by making contributions to the pension funds and by applying a relief, and relevantly to withdraw this money from this pension fund, from 2017 it is provided to narrow a personal income tax relief for the contributions made to the pension plan of the private pension fund, if a payment is made next year after the contribution is made.

4) As of January 1, 2017 the minimal monthly wage has been increased from 370 to 380 EUR per month

5) Until the end of March 2017 it is planned to elaborate and submit to the Cabinet of Ministers the „Government Action Plan for the development of minimum income support systems in 2017-2020” in accordance with the Cabinet of Ministers Regulation 2016 of 3 May No 275 „The Government Action Plan

Reference date for all information is **July 1st 2016**

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of Declaration on Cabinet of Ministers at the helm of Māris Kučinskis for the implementation of the proposed actions”.

Amendments to the Social Services and Social Assistance Law came into force in February of 2017. With it some improvements in the social assistance system will be implemented, for example the conditions of GMI are improved - the State family allowance starting from February of 2017 is not going to be counted as an income as well as if a person starts to work, the incomes of the last 3 month also are not going to counted calculating GMI.

6) In accordance with amendments adopted in the Saeima on 23 November 2016 and amendments adopted in the Saeima on 8 December 2016 to the law “On Unemployment Insurance” starting from 1st April 2017 the minimum insurance contribution period for unemployment benefit should be not less than 12 month within the time period of the last 16 months prior to the day when the status of an unemployed person was obtained.

7) In accordance with amendments to the Law on State Social Allowances adopted by Saeima on 23th of November 2016 from the 1st January 2017 the state support to families with 4 and more children is being increased - the amount of family state benefit for the fourth and next children is 50.07 EUR per month (4.4 times more as for the first child).

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.